



of

KEY ACCOUNT MANAGEMENT



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of

KEY ACCOUNT MANAGEMENT

A-Z OF KEY ACCOUNT MANAGEMENT

ACCOUNT MANAGER EVOLUTION:

In the seventies, salespeople left their caves and set off to hunt their commercial prey armed with little more than a bag full of good stories and bad jokes.

Life was so much easier then!

If a sales call lasted forty minutes, at least thirty minutes of it could be devoted to a friendly chat.

Sales people entertained their customers and prospects over a mug of coffee, made them laugh with predictable but amusing stories, compared sports results, swapped scandal and office gossip and left clutching an order before moving on to the next unsuspecting customer where the same well-rehearsed, entertaining routine was performed all over again.

Account managers, then, were nothing more than “Entertainers”.

By the eighties, things had progressed a little. Entertainers had become “Sales Representatives” and “Sales Executives” and developed good projection and presentation skills to explain the features, advantages and benefits of their products and services.

They were now “Informers”. In fact, many were regarded as “walking technical handbooks” and this impression was not helped by the fact that they claimed to offer tailored solutions but used dull, standard scripts.

During the evolution process the Informers’ ears did not evolve and develop as well as their tongues. They did not listen, they simply “waited to speak” whilst taking a breath in between sentences.

If customers “interrupted” they were swiftly dealt with using a range of heavy-handed techniques, tricks and gimmicks inspired by books like “How to develop a killer instinct”, “How to get the customer to say yes” and “The 55 different ways to overcome objections”.

The preparation and planning skill of the Informer was poor. He believed that he could “play it by ear” and that customers needed to be “told”. However, customers did not share this view and often resisted.

Account management training in the eighties was dominated by companies owned by white-suited management gurus. Often sponsored by leading politicians, who had recognised the value of being seen with these new superstars, the white-suited gurus

filled conference halls and arenas, paraded up and down and "enter-trained" people with their aggressive "Close-that sale!" philosophies.

Their language was often combative. They believed that customer objections were unjustified and needed to be "overcome" by following a number of slick, fool-proof steps.

They dismissed the possibility that objections might be genuine concerns that needed to be understood and handled sensitively. The gurus promoted the idea of "price wars" and "sales blitzes" but then quietly left their conference halls and returned to the safety of their own "barracks".

Overall, customers did not like The Informer's heavy-handed "projection" approach. For many customers in the eighties, "selling" became a dirty word conjuring up images of aggression, manipulation and deceit. Not surprisingly, they saw themselves as adversaries and "dug in" to defend themselves against verbal attack.

The Informers, however, carried on talking - to an audience of one and a market of none!

The nineties saw the arrival the "Problem Solver". Here the emphasis was on understanding the customer's needs, concerns and aspirations through well-crafted, open questions and active listening and summarising skills.

At last there was a genuine interest in the customer's business. Sales was no longer a "hit and run" process with a win-lose outcome.

These Problem Solvers, often called "Business Advisors", "Business Development Managers" and "Sales Consultants" were trained to identify needs during the first call and provide solutions during the second (having had time to think about the customer's needs and produce a creative, tailored, win-win solution).

During this decade many more women moved into sales and marketing. The female of the species had already evolved to be well accomplished in these "new" consultative techniques and was naturally able to adopt a more collaborative, and less combative, style when working with customers.

Women used their empathy, listening skills, intuition, excellent conflict-resolution and relationship-building skills with great effect and left many of their male colleagues wondering (and worrying) about their traditional role in this new, rapidly changing world.

By the end of the nineties 40% of sales jobs were in the hands of women with many at the top of the league tables. No longer did women in business have to be twice as good as men to go half as far!

Customers rewarded the new problem-solving approach. They liked being given a “good listening to” and felt that, at last, serious attempts were being made to understand them.

It had taken over twenty years for the gossiping Entertainer (who liked talking about others) to evolve into the boring Informer (who liked talking about himself) to evolve into the consultative Problem Solver who had finally learned the value of talking to customers about themselves!

Three new pressures and challenges face account managers in the future:-

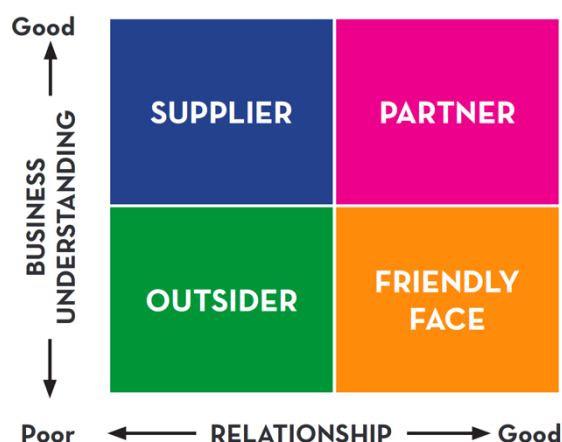
1. **Creating "clear water" and differentiation** – trying to stand out from competitors rather than stand up to them
2. **Retaining customers in a market place that is less loyal** – just meeting expectations will not be enough – they will need to be exceeded.
3. **Managing the increase in business coming from key accounts.** In many business to business companies, 80% of business will come from 20% of the customers

Therefore many companies today have recognised that the best way to address these three issues and achieve differentiation, exceed customer expectations and add value to an increasing number of key accounts is to develop and recruit managers and directors who are capable of operating as "Business Partners", rather than suppliers.

Business Partners are exceptional people who:-

- recognise that they are in the “financial services” business i.e. providing their key accounts with increased profits
- know that the best way to sell additional products and services is not to talk about products and services – but to talk about what they do
- are capable of explaining the business benefits of going ahead with their proposal and the consequences to the key account’s business of not going ahead
- understand that the key account is not really interested in any supplier’s business – they are interested in learning more about their own
- try and find solutions to problems the key account does not yet know they have
- see their job in black and white terms – i.e. to put some “black and white” on to the customer’s bottom line

To do this, Business Partners need to have "high" relationship management skills and a "high" level of understanding about the customer's business needs, problems, pressures, priorities, fears and aspirations for the future.



There are many indicators that would confirm that organisations have achieved this "Business Partner" status -you may like to think of one of your key accounts and use the checklist below to see how many of these indicators actually exist today.

- The customer gives you access to confidential information.
- The customer agrees to a rolling contract, not fixed term.
- Joint project teams, joint R&D, joint board meetings, joint action plan.
- There are Multi-level contacts between your two organisations.
- The customer accepts new products and services with little resistance.
- You are involved in their strategic planning process.
- Reverse hospitality - the customer invites you to their events.
- The customer provides a written testimonial and acts as a reference.
- The customer shows you a range of projects and invites you to pick.
- The customer is happy to refer you to their customers and suppliers.
- They treat you as a dotted-line member of their team.
- Price resistance lowers as they see the value of your products/services.
- There are no nasty surprises - someone, somewhere, will tip you off.
- They give you last minute opportunities to improve your proposals.
- Changes in their (or your) personnel do not affect the overall relationship.
- You are copied on customer correspondence.
- The customer treats your organisation as the "industry expert".
- Your people work within the timings of their business year.

- Independent research confirms that you are exceeding expectations.
- Your contacts will “fight your corner” in front of their colleagues

ADDING VALUE:

If your organisation was arrested and charged with “adding value to key accounts” would there be enough evidence to convict you? A strange question, perhaps, but it does capture the essence of key account management.

KAM is not just about “cuddling” customers. It is about adding value to the customer’s business by helping to improve their profitability and performance.

It is not about “fighting over a slice of the cake”. It is about helping the customer to create a bigger and better cake. Your organisation would be perceived as a value-creator and rewarded with additional business opportunities - and your competitors would not.

So how many different ways are there to add value to a key account? Here are just a few:-

1. Help them to increase their sales
2. Help them to reduce their costs
3. Help them to improve their market share
4. Help them to become more profitable
5. Find ways to help them stay in front of their competitors
6. Anticipate and solve their future problems
7. Introduce the key account to your customers, suppliers and network
8. Give them an order
9. Give them a lead
10. Give extra advice for free
11. Make them a hero - let them take the credit for your ideas - they will be keen to work with you again
12. Influence other companies to switch business to your key account
13. Offer advice where they are low on know-how
14. Give them a free place on one of your own courses
15. Sponsor their conference or social event
16. Send them useful press cuttings and market intelligence
17. Help them develop their plans and objectives
18. Part fund a project or event
19. Help your contact to achieve a personal goal
20. “Be there” when they need you - at a business level and personal level

APPLICATIONS:

KAM can be applied both “defensively” and “offensively”.

‘Defensive’ KAM applications would include:-

- Where the consequences of losing an account would be potentially disastrous – you have “too many eggs in too few baskets”.
- Where there are known or suspected problems within the account and you need to resolve them
- When one of your competitors launches a major offensive to capture one of your key accounts and you need to defend it.
- When a major contract is due for re-negotiation and you need to demonstrate that you still deserve to retain the customer’s business
- When you know that the management of the account has slipped into a complacent rut and that your people are “taking things for granted”
- Where you are making a large (maybe “unacceptable”) profit and you need to provide a brilliant service to deter the customer from examining the numbers in detail
- During a recession when hungry competitors are forced to attack your accounts as there is no organic growth available in the market
- When money is tight and you want to extract as much low-cost business as you can from existing accounts and avoid the high-cost sales and marketing needed to attract and win new customers

‘Offensive’ KAM applications would include:-

- The obvious one - where there is still growth potential within the account
- When you are mounting a major campaign to attack one of your competitor’s major accounts
- Where winning the business would have huge strategic or prestige value
- Where you are trying to recover a major piece of lost business

- When a competitor's account manager has just departed and the hold and influence on the account will be vulnerable for a limited period of time
- When you are researching and approaching a list of "dream accounts" that would change the fortunes of your company – if only you had them!

ATTITUDE:

According to research there are six reasons why customers change suppliers:-

4% They die, retire, are fired or move to another job

5% Company politics

9% They get a genuinely better offer from another supplier

14% Dissatisfaction with the product/service

30% Poor attitude of delivery/support staff/credit control from the supplier company

38% Poor attitude of the account manager from the supplier company

So there is plenty of evidence here to suggest that customers don't just leave their suppliers – they also leave their account managers!



"Poor manager attitude produces poor customer attitude"

BENEFITS OF KAM:

So what are the benefits of implementing an effective key account management strategy?

Fortunately, everyone benefits!

- Your results and performance will improve

- You will become famous in your marketplace for customer excellence
- You will be clearly differentiated from your competitors
- You will be able to grow your business through low-cost referrals
- You will have a better understanding of your customers' future needs.
- You will reduce the cost of service problems
- You will have an image and reputation which will positively affect your staff retention and recruitment
- You will have a team of Directors, who are perceived as leaders not bosses, spending more time with key accounts rather than fighting their way through their usual 87 emails before 9am.
- You will be able to charge more and become more profitable.

Customers will benefit:-

- They will be delighted with your service and performance
- They will improve their own profitability and performance through your added-value services
- They will have less stress and uncertainty
- They will have more trust in your organisation
- They will enjoy a collaborative relationship with your company.
- They will be working with an "industry expert"
- They will have access to the "top table" of your organisation
- They will benefit from your advice, much of it outside your core products and services.
- They will feel good and have peace of mind.

- They will be shaking hands with you, not arm-wrestling with you!

Account Managers will also benefit:-

- They will earn more
- They will be happier
- They will be developing as team leaders through more effective dealings and meetings with their colleagues.
- They will enjoy more teamwork and support from colleagues and less friction and “hospital passes”



BUSINESS PLAN:

Most Account Managers do not like “admin” and paperwork. It is therefore very important that any new account planning activities are introduced with the “right language”.

Asking an account manager to “complete a form” and “record the past” will be greeted with understandable reluctance and indifference. Asking them to complete their key account “Business Plan” for the future is a more positive image and language.

You would be emphasising that all managers within your company are expected to talk through their plan before results are expected, not afterwards. This is to allow you, and others, to understand it, help resource it, help support it, challenge and improve thinking and help to implement the plan.

Imagine that your account manager is expected to produce £500,000 of business from his/her accounts during the next three months – the Business Plan below shows where the account manager is expecting to find the business, the level of activity needed to produce it and if the plan is workable. You will notice that the example shows that the account plan is workable – there is a buffer of 3.6 spare days.

Results		Activity			
Sales Target	£500000	Days Available	Days	60.0	
Key Accounts	Partner Plans Value	Meetings / Courses	6.4	53.6	
		Public / Own Holiday	4.0	49.6	
Key Account 1 GRAPHIC SOLUTIONS	£30000	6	Calls	4.0	
Key Account 2 EXEL	£5000	4	Calls	2.0	
Key Account 3 VIRGIN	£30000	5	Calls	4.0	
Key Account 4 QPQ	£2000	10	Calls	3.5	
Key Account 5 PINCH & CO	£115000	24	Calls	8.0	
Key Account 6 ATS	£5000	4	Calls	4.0	
Key Account 7 INNER PEACE	£35000	4	Calls	4.5	
Key Account 8 TERRY FORD	£5000	0	Calls	0.0	
Key Account 9 FORCEFORCE	£5000	1	Calls	1.0	
Key Account 10 ACE	£45000	3	Calls	1.0	
Key Account Total	£277000	Key Account Total	32.0	17.6	
Other Customers	£36830	66	Calls	8.0	9.6
Prospect Customers	£157862	5	Calls	1.0	8.6
Suspect Shortfall	£28308				
Typical First Order	£5000				
Number of New Suspect Customers needed	5	15	Calls Suspect Customers	5.0	3.6

This type of plan allows the account manager to look down on the situation “from the helicopter” and to see, at a glance, the quantity, quality and direction of activity needed to produce the right results.

The plan also provides us with the definition of a good month’s work for an account manager – key account results and activity achieved compared to key account results and activity planned. One without the other is meaningless.

COMPETITOR ANALYSIS:

A Prussian Field Marshall called Helmuth Carl Bernard von Moltke once said “no plan ever survives contact with the enemy.”

It is therefore important to have, at all times, an up-to-date summary of competitor strengths, weaknesses, opportunities and threats (SWOT) so you know what to do next.

Ideally, you need to know their policies, strategies, future marketing campaigns, pricing and likely response if you attack them.

If you don't have a marketing department that carries out this competitor analysis an effective and simple action point here is to ask each of your account managers to become a “competitor manager”.

Ask each manager to keep a file on their nominated competitor. Their colleagues will soon make a point of talking to them when they encounter this competitor on their patch and within their accounts.

Ask your account managers to deliver a short competitor update at a sales meeting - delivered as if they worked for the competitor - invite them to think, breathe and behave as the competitor would. The more you know about your competitors, the fewer they are!

If you know the enemy and yourself you need not fear the result of a hundred battles

If you know yourself but not the enemy you will suffer a defeat for every victory gained

If you know neither the enemy nor yourself you will suffer in every battle!

CONSTANT PROCESS:

Key Account Management is not a short-term marketing campaign, nor is it something that gets off to a flying start only to be forgotten once the dry ice has disappeared from the conference stage.

It is a constant process. If you have a three year contract there is no point waiting until the thousandth day to put these KAM ideas and actions into place. If you do, the key account will detect your last-minute, desperate attempts to retain the business and would also regard any offers of lunch or hospitality as blatant and tacky.

"I always trained my people to understand that

contract renewal starts on Day One"

~ Alan Buckle ~

CONSULTATIVE SELLING:

When working with key accounts the sales process should be viewed as a consultative "game of two halves".

N	NEEDS
A	AGREEMENT TO NEEDS
S	SOLUTION
A	AGREEMENT TO SOLUTION

The first half (the N and the A) is when needs, facts, feelings, hopes, fears and expectations are identified through effective questioning and listening.

A summary fed back to the customer would confirm that you have accurately identified all of the relevant information and that they agree with your assessment of the needs.

The second half of the match (the S and the A), often a week or so later, is when your tailored solution is presented using effective presentation and communication skills.

Through objection handling and problem solving you would ensure that the customer is happy and that they agree with your proposed solution.

CRITERIA:

What is the definition of a key account? When does an “ordinary customer” graduate to become a key account? Does everybody within your organisation have the same understanding of the term “key account”?

I have come across many different definitions of a key account – none of them right, none of them wrong. It depends what is right and wrong for your organisation.

Here are just a few of them:-

- The accounts that generated 80% of last year’s sales
- The accounts that generated 80% of last year’s profit
- The accounts that have the potential to generate 80% of next year’s sales/profit
- The top five accounts in each Region – managers to decide criteria
- Any account that purchases from more than one branch
- All accounts that have prestige or strategic value

One of the best and most effective definitions I came across was at a London-based security company where their key accounts had to have all five “essential criteria” and at least two “desirable criteria”, as they called them.

“Five Essentials”

1. “Headroom” where there is potential for growth
2. Good existing relationships with the customer
3. Cultural fit – same values and beliefs –
4. Where the customer is looking for “quality above price”
5. The account is in a target market sector

“Five Desirables”

1. Customer unaffected by outside factors and forces
2. They have prestige value
3. There is scope for broadening the services provided
4. Where a competitor of ours is currently experiencing major problems
5. Where a competitor is becoming increasingly active on our account

Their ten criteria allowed for a very flexible way of defining key accounts across their twenty locations. They allowed for “local market conditions” but, at the same time, provided the basis for national management and measurement.

So, if you like their idea, what are your “essentials” and “desirables”?

CULTURE:

In any KAM initiative there are cultural considerations to consider. KAM has to start internally before it can produce success externally.

Teamwork, internal customer service and understanding another department's problems, pressures and priorities are all part of the "cultural foundation stones" needed.

Why is all this important? The key account will be passed from person to person and department to department rather like a baton in a relay race – they need to be passed carefully. They need to be managed by a seamless team of caring people.

"The quality of service the customer receives externally is influenced by

the quality of service your people give each other internally."

~ Rosabeth Moss Kanter ~

CUSTOMER AUDITS:

What is the process within your business for proactively auditing the key account's perception of the overall service that you provide?

At a key account level, there is little to be gained from questionnaires (happy sheets?) and telephone calls to audit the customer's perceptions. They need something more.

They need a face-to-face audit carried out by a "third party" like the Chief Executive, another Director, a Management Consultant, a new manager who has just joined your business or an MBA student looking for a meaningful project. It can be as simple as account managers swapping over and auditing each other's accounts.

This auditing process is important for a number of reasons:-

- Quality is what the customer say it is – not what you say it is
- It is impossible to make improvements in KAM unless you know where you are starting from
- It will keep your organisation on its toes and guard against complacency and arrogance

So let's imagine that you have ten key accounts and that every month one of them will be audited. Here's the process:-

1. Decide which key accounts are going to be audited when, and why
2. Decide what you would like to find out and build the appropriate open questions that are best suited to find the information in a relaxed, friendly way
3. Contact the customer and book the audit visit – tell them how much time you would ideally like, who you would like to meet etc.
4. Confirm the appointment in writing and copy to all concerned. You may like to provide a couple of your proposed audit questions to allow the customer to prepare.
5. When face to face with, let's say, the Chief Executive of your key account some days later, start the meeting with some safe, easy questions:-
 - Where are we meeting your expectations?
 - Where are we exceeding your expectations?
 - Where are we falling short of your expectations?
6. As the rapport and relationship develop ask additional questions that provide a clear picture of the situation today.
 - What unresolved issues are there?
 - How do we compare to other suppliers in our industry?
 - How do we compare to suppliers from other industries?
 - How would you sum us up in a sentence?
 - How do you feel about our processes?
 - How do you feel about our people?
 - If you could put the clocks back what should have been done differently?
 - If we were an animal or bird what would we be?
 - If we invited you to our next conference as a guest speaker what would you tell the audience?
 - Overall, how many marks out of ten would you give us today?
7. If things are going well (a second cup of coffee has arrived and the originally promised 30 minutes is already 45) then move the conversation into the future. These questions are designed to identify how the customer's business is

changing and developing and where there might be opportunities for your company to add value.

- How is your business changing and developing?
 - What pressures are you facing?
 - How will the future differ from the past?
 - What will be your main future objectives?
 - How will you achieve them?
 - How can we help you?
 - What three things could we do in the future that would make your life easier?
 - What do you see as being the big issues in our future relationship?
 - What would we have to do to score 10 out of 10?
 - Where would you be happy to see us have more of your business?
 - What else do I need to know.....?
8. Return with the information, share it with colleagues and build the actions needed to address the concerns and issues. Send a “thank you” letter to the key account and explain what course of action you are now following and when you will return with your proposed action plan.
 9. At this meeting, again thank the contacts for their input, share your proposed actions and build, with them, a joint action plan for the future.
 10. Monitor progress and repeat the exercise every year – it will become their “annual appraisal.”

Customer reaction to this auditing process is always very favourable. They enjoy talking about themselves, are appreciative of the motives behind the audit and feel that they are actively involved in a process that will deliver improvements and more value.

DECISION-MAKER MATRIX:

Within your key account plan there should be some “intelligence” on the key decision makers and influencers and the level of positive or negative support that they have. The matrix allows you to plot where people are and to think about a number of key questions:

1. Why do the negative people feel the way they do – has anyone asked them?
2. What could be done to move them up the matrix?
3. Which colleagues could be deployed to help you influence these negative people? (“man-to-man-marking”)
4. How can the positive people be used to influence the negative people?
5. Where should time be spent during the next six months?
6. Should people be seen separately or together – what are the team dynamics?
7. What internal politics are likely to surface at a meeting?
8. Who will be on the matrix in twelve months time and what needs to be done now?
9. Is everyone involved in the buying decision on the matrix - or just the people the account manager knows at the moment?
10. What relationship objectives should be set for the future?

Here are four questions to ask the customer that will help provide some of the detail needed for the matrix:-

- How does the decision making process work?
- Apart from yourself, of course, who else would I need to see?
- If you took it further as a result of today’s meeting what would happen next?
- How do you and your colleagues feel about our proposal?

DIFFERENCES BETWEEN SALESPeOPLE AND ACCOUNT MANAGERS:

Typical Salesperson	Good Key Account Manager
• Concentrates on extracting one-off sales from customers • Sells of the shelf products/services • Pursues personal glory • Thinks competitively - win-lose • “Jack the lad” who is often kept at a distance • Credible with 1-2 contacts • Talks about features and benefits • Thinks about the short-term • Talks about self • Fights for a slice of the customer’s business • Has to seek authority from the boss	• Concentrates on cultivating ongoing sales through customers • Sells tailored solutions • Co-ordinates a team approach • Think collaboratively - win-win • Trusted advisor who is at the customer’s side • Credible with everyone from “the boardroom to the post-room” • Talks about bottom-line business benefits • Plans for the long-term • Encourages the customer to talk about themselves • Helps the customer create a bigger cake • Has the authority and uses it

DIFFERENTIATION:

In the eyes of many customers “people are selling the same sort of things these days”. So what are you doing to stand out from your competitors rather than stand up to them? What are you the best at? What are you the first to do?

Differentiation is not about offering customers something that you think is different - it is about offering things that they value - things that your competitors don’t have or don’t do as well.

There is a marvellous strategy to establish if you are offering things that are of high value.....ask the customer.

DREAM PROSPECTS:

Who are your dream prospects? Which ten companies (if you had them) would change the fortunes of your business? What is being done today to bring these organisations on board in 12-18 month's time?

EXCEEDING EXPECTATIONS:

Companies used to retain their customers by meeting their expectations. The world has moved on.

Performance	Score
Meets expectations	55%
Exceeds expectations	25%
Falls short of expectations	20%
	100%

Ten years ago, you could look at the numbers above (imagine them as the results of an independent piece of research), add together the top two numbers and say "We've had some research done and, to cut a long story short, 80% of our customers are happy with us, or thereabouts"

Today, because of the way that customer loyalty has changed, adding the top two figures together would be commercial suicide.

What they say, today, is that "only 25% of customers are happy, with the other 75% "up for grabs".

"If you don't Ex-Ex your key accounts

you will become an Ex!"

The safest key account is one where expectations are exceeded at each stage of their experience with your organisation. Try analysing each stage of the customer's experience and look for opportunities to turn a tragic piece of service into a magic piece of service.

Imagine that you run a hotel - here are the first two stages of the customer's experience - both tragic and magic. The right-hand side is a totally different experience. The good news here is that the additional cost is seconds and pennies. The additional value is huge.

STAGE	TRAGIC	MAGIC
STAGE 1 TELEPHONE BOOKING	Polite staff take enquiry They are friendly/helpful Confirmation letter sent by hotel secretary 2-3 days later	Polite, friendly and helpful staff take enquiry and ask good quality questions to identify the reason for the enquiry, needs, special needs, if customer requires restaurant booking - they establish a personal connection Map sent showing location of hotel along with "things to do in the area" sheet Manager personally signs confirmation letter which is sent on the same day. Voucher enclosed offering £3 off a bottle of wine from restaurant wine list
STAGE 2 CHECK-IN	Guest arrives, is greeted in friendly way and checks in	Guest arrives, porter carries luggage up to the room. Check-in is conducted speedily with personal connection re-established. Free cup of tea sent up to room. Duty manager phones guest 30 minutes later to check if all OK.

EXPERT:

KAM has its own set of detailed policies, principles and processes but it is also about being spectacularly good at one of the business basics - being an expert in the customer's world.

"The winners of the next decade will be those who know more about their customers and their needs, than the customers know themselves"

Here is a story that tests how well your imaginary account manager (Pat) knows your key account's business.

Customer: Nice to see you again Pat – follow me, the meeting room is booked and coffee is on the way.

Pat: Great – sounds good to me – how are you doing for time today?

Customer: I've got an hour Pat and during that time I'm going to introduce you to two of our new managers. They will have an involvement with your company so I thought it would be good for you to meet them today – they are three days into their induction.

Pat: I would love to meet them. Did you want me to cover anything in particular?

Customer: Yes. I think it would be a good idea for you to deliver a short presentation.

Pat: No problem.

Customer: But when I say “deliver a short presentation” I don't mean on your company – I mean on our company! As you have worked with us now for three years, as our partner, I would like you to do a short presentation, for the benefit of my two new managers, that illustrates just how well you know us and how well you understand our problems, pressures and priorities.

Pat: I see

Customer: So cover things like your understanding of our short term, medium term and long term goals, our products and services, our company vision and how you fit into that, our market position and that of our major competitors, our numbers – you know, turnover, market share, profitability etc and some of the industry trends that will effect us during the next three years or so.

Don't forget that we have recently changed page three of the website – that has implications for your company – and you probably saw our Chairman's comments about our planned expansion into Europe – pop that in as well. I'm sure you'll be fine.

Is that OK Pat?

Pat: Errr. Where is the toilet please? Back in a minute.....

Here are a couple of action points that will help to become an expert in the customers' world:-

1. Decide which business you are really in – for example, if you are a printer and 70% of your business comes from the food industry, maybe you are also in the food industry.
2. Put trade magazines from the customer's world in to your reception area, canteen and meeting rooms – your people will casually browse through them and improve their knowledge.
3. At account review meetings ask your account managers to provide an update on their account – as if they worked for the customer. Encourage your people to “think customer” in a creative way.
4. Pay for subscriptions to allow account managers to join Trade Associations or Institutes that your customers belong to. Entry criteria may prevent them from becoming a Member with letters after their name but they will probably be able to become an Associate.
5. Visit exhibitions that your key accounts manage or attend – there will be plenty of new things to learn about
6. Buy a few shares in the customer's business and go to their AGM!

“Good Key Account Managers help themselves by helping their customers first!”

Anon

FAVOURS LOG:

Every day, your company will be delivering its contracted services and, in many ways, will also perform “over and above the call of duty”. Make a note of these “favours” in the key account plan.

Some of these favours will be well outside the terms of your agreement and will be useful ammunition if ever asked (by a new Finance Director) to produce evidence of the value that you have created.

FINANCIAL:

Account managers do not need to be financial experts – but they do need to have a good grasp of “the numbers” so they can help their customer improve their profitability. Things like:-

1. Return on capital employed – this measures the profits produced in relation to the total capital invested in the business.
2. Return on sales – this measures profit after all costs have been deducted in relation to the total sales of the company
3. Capital turnover – this measures the speed of sales turnover in relation to the capital employed in the business
4. Stock turnover – this measures how the customer’s inventory is turning over
5. Debtor turnover – this measure the customer’s ability to collect payment from its customers
6. Creditor turnover – this shows how long it takes to pay the bills of suppliers

This is “scary stuff” to many account managers, although some will not want to admit that they don’t understand it. One good action point here is to find an hour of a sales meeting to look at the annual reports and interim statements published by your key account companies – discuss what the numbers are, what they mean for the key account and what they mean for your organisation.

FIRST RULE OF BUSINESS:

Look after your key accounts before someone else does!

HOSPITALITY:

There can be nothing worse (from the key account’s point of view) than receiving a Friday phone call asking if they want to go to a football match the following day. This is not corporate hospitality – more like corporate hostility. Imagine how unimportant the customer will feel.

If you use hospitality as part of the relationship management process, make sure that it is tailored to the needs of the individuals involved and that the invitations are sent out in plenty of time.

If you have a major re-negotiation in March and you decide to invite the key account to a football match in February, don’t send out the invitation in January as the customer might see his/her attendance as inappropriate i.e. they don’t want to be put in a difficult position.

Send the invitation out during September so its significance will not be spotted.

INDISPENSABLE:

Sometimes, account managers think they are indispensable and, even worse, their directors allow them to believe their own publicity. We all like to think that we are important, of course, but here are some sobering words to reflect on:-

*“Some time when you’re feeling important
Some time when your ego’s in bloom
Some time when you take it for granted
You’re the best of the bunch in the room*

*Some time when you feel your departure
Would leave an unfillable hole
Just follow these simple instructions
And see how it humbles your soul*

*Take a bucket and fill it with water
Dip your hand in it up to the wrist
Pull it out and the hole that’s remaining
Is a measure of how much you’ll be missed*

*You may splash all you like when you enter
You may stir up the water galore
But stop and you’ll find in a moment
That it looks just the same as before*

*The moral of this quaint example
Is to do just the best that you can
Be proud of yourself but remember
There is no indispensable man!*

JOB DESCRIPTION:

Here is a job description for an account manager:-

1. Improve the key account’s profitability, which will then.....
2. Improve your profitability
3. If in doubt, refer to 1. above

JOINT ACTION PLAN:

Imagine that your account manager has just been involved in an important meeting with the key account. Rather than having his/her action plan, and the customer having theirs, why not produce a “joint action plan”?

This would be managed by the account manager but copied, by email, to all concerned. At the following meeting, the account manager would, if needed, circulate hard copies of the joint action plan and chair the review. Imagine how frustrating this would be to your competitors – once again you are the partner and they are the supplier.

KEY PERSONNEL:

How much do you know about the key people that affect the chances of retaining and winning key account business?

Where is this intelligence stored? How is it used to develop warm relationships? How are colleagues briefed if they are about to visit the key account for the first time? Here are the (fairly standard) things that are usually known about the key personnel:-

• Job title • Phone numbers • email addresses • Responsibilities	• Reporting lines • Interests and hobbies • Approximate age • Previous companies worked for
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.....and here are the things that are rarely known:-

- Next likely job e.g. “Graham is rumoured to be the next CEO and Jenny will probably move into a marketing role at group HQ”
- Other contacts known within the industry e.g. “Tom Williamson also knows the Chairman of Albro Industries and is happy to introduce us”
- Background career to date e.g. “Sue used to work for Blenkin and could give us some useful information before we visit them next month”
- Claims to fame e.g. “Sharon sailed across the Atlantic with her husband – a great talking point”
- Conversational no-go areas e.g. “Frank is anti fox hunting so don’t mention the Countryside Alliance”

- Conversational hot-buttons e.g. “Karen’s son has just started at Exeter University and is reading Geography”
- Birthdays e.g. “When we see Peter next week we could take him out for a sandwich as he will be 50 on that day”
- Other key dates e.g. “Claire’s baby is due next month”

Knowing the “real person” should not be a superficial account management ploy – it should be a genuine attempt to understand “what makes people tick”. Asking the right questions, at the right time, in the right way, being a good observer and a good listener are all important skills in this area.

LEADERSHIP:

KAM starts at the top or it does not start at all! It is one of the ultimate leadership challenges for any senior management team. Could there be any better use of their time? Probably not.

Director-level understanding, support and involvement are all key success factors. KAM is not something the top of the organisation orders the middle to do to the bottom. It has to start at the top - it has to last long after the conference that launched it.

“It is not speeches at the moment of battle that render soldiers brave – the veteran scarcely notices and the new recruit will forget them at the first shot.

Speeches from leaders are only useful during the campaign – doing away with unfavourable impressions, correcting false information, improving morale and keeping alive a proper spirit in the camp.”

~ Napoleon ~

LISTENING:

To the typical salesperson, listening is something to do whilst taking a breath in between sentences.

Good account managers, however, actively listen - they don’t just wait to speak.

They know that they will never learn anything new whilst talking. They know that when they are talking they can only say something that they already know. When they are actively listening they know they will learn something that someone else knows.

Active listening means understanding both content and feelings.

Here are the four levels of listening which illustrate this point:-

Customer: "I'm glad you are here today as we have had five major problems with your company's delivery again!"

Level Four Listening (poor content and poor feelings) "Really?.....not to worry, at least it's nice weather today"

Level Three Listening (poor content and good feelings) "I'm very sorry to hear that - let me make a note of it. Now.....what do I need to know about these four minor problems?"

Level Two Listening (Good content and poor feelings) "I have some news for you about that - it will remove the problems completely - but, looking on the bright side, at least the products got here eventually!"

Level One Listening (Good content and good feelings) "I'm very sorry to hear that Bill. I can imagine how frustrating that must have been for you.

I'm glad you've brought it to my attention though as I am going to the warehouse this afternoon so I can look into it and fix it.

Will you be in your office at 4pm? I will phone you later with an update."

"A wise old bird sat on an oak

The more he saw the less he spoke

The less he spoke the more he heard

Why aren't we like that wise old bird?"

~ Edward Hersey Richards ~

LONG-TERM:

KAM is not a short-term quick fix. It is a long-term, meaningful process built around integrity and genuine relationships. Once key account plans are in place they need to grow and develop without the pressure of having to produce a quick return within the current financial year.

Play it long. Give key accounts time to grow – there is no point “pulling the tree up to see if the roots are growing”.

LOST CUSTOMERS:

Within your company is there a plan for re-gaining lost key accounts? Which lost key accounts are the “line of least resistance” and relatively easy to re-capture? When was the last time a senior director contacted a lost account? Did anybody ever say “sorry”? This is often all that is needed.

Remember that lost accounts were important when you had their business originally and they are probably still important now.

In the event of failure it is very, very easy for account managers to re-write history and say “well, we never really wanted their business anyway – not the sort of customer we should be working with.”

If the lost key accounts of the past still match your key account selection criteria for the future, then go after them and win them back.

MEASURING PROGRESS:

What gets measured gets done. So how do you measure the progress of a key account programme during the twelve months that follow? The answer is in three parts.

In the early stages (1-3 months) there is little to measure apart from a number of “Identifiable” measurements. In the middle stages (4-9 months) a number of “Quantifiable” measurements will be apparent leading to a number of “Auditable” measurements (10-12 months +). Here are some examples of each area:-

Identifiable:

- Key Accounts report that they feel happier with the way they are being managed
- Reports of better team working within your organisation

- Account managers tell you that they feel better equipped to achieve their objectives

Quantifiable:

- Increase in referrals from 2 per month to 5
- % of account objectives achieved rises from 35% to 75%
- Scores from key account audits improve from 6 out of 10 to 8.5 out of 10

Auditable:

- More sales, less costs, improvements in your profitability
- More sales, less costs, improvements in their profitability

Set lots and lots of “measurables” in all three areas. Account managers will do what you review!

MOTIVATION OF DIFFERENT TYPES OF “BUYERS”

Customers buy for a number of different reasons:-

- **Technical** - (the ability of your product/service to meet a particular need)
- **Commercial** - (the price, terms and ability to provide a return on investment)
- **Personal** - customers tend to have 1-2 strong personal motivators and these are outlined in this section of the A-Z. Some people are motivated by achievement in their lives, some by friendship, some by power and some by security. In each case, we need to understand the characteristics of the personal motivator and how to work with them.

MOTIVATOR	HOW TO WORK WITH THEM
Achievement - these people like to win, hit measurable goals and do better than others. They are often innovative and creative, like structure in their	• Bite your lip and remember to tell him how wonderful he is. • Notice the trophies • Praise in writing

lives, plan for the longer term and anticipate likely barriers that will prevent them from achieving. On their desk or wall will be a number of certificates and trophies saying "Look at what I've done!"	• Emphasise things that allow him to beat his competitors • Always have an agenda • Build measurable goals into your proposals • Keep things clear and to the point • Show an interest in his longer-term personal goals
Friendship - they like warm working relationships with colleagues and suppliers. They don't like conflict and like to be part of a team. They come to work because of people and like to be liked. On their wall there will probably be a team photo - maybe their golf team, maybe their business team at a recent conference.	• Make sure that social chat comes before business chat • Never refuse the offer of a cup of tea or coffee (even if you don't want one) • Don't be critical of others in front of him • Have regular "pie and pint" business meetings where you can include a friendly social element • Help him sell your proposal to his boss (as he won't like the thought of falling out with his boss if the proposal falls short of his expectations)
Power - they need to influence and impress. They like to be forceful and threatening and often cause strong emotional reactions like anger and fear. They are often political and devious and are	• Be prepared to let her steal your good ideas and take them to her boss • Emphasise how your proposal will affect her status • Let her lead the discussions • Don't take the "hot air" too seriously - they like to flex their muscles in public

concerned with their reputation and how they are perceived in public. On their office wall they will have a photo of them shaking hands with a powerful figure like the Queen, Bill Gates, Tony Blair etc	• Talk to your friendly “allies” within the account to give you information on what is happening when you are not there
Security – they have a need to feel safe at work. They like to deal with secure, stable suppliers, don’t like grey areas and avoid risk and uncertainty. They like evolution, not revolution, and need lots of support and reassurance. On their wall will be a reassuring photo of their family.	• Sell the benefits of change (as she won’t like it) • Avoid grey areas – this type of person likes black and white • Make your proposal easy to buy e.g. 10 x £1000 chunks not £10000 all in the one go • Go for low volume, then add more over time • Offer testimonials and proof from other happy key accounts • Encourage phone calls to these happy accounts

Here is the tongue-twister of the day – “there is nothing so unequal as the equal treatment of unequals”. People are different and should be treated differently.

Look for the clues, find out how your colleagues see it, then tailor your approach around these four personal motivators.

NEGOTIATING:

Here are 10 statements of the obvious

1. BE CLEAR ABOUT THE OBJECTIVES OF THE NEGOTIATION

What outcome do you expect, what outcome does the other party expect? Be careful to differentiate between what people say and what made them say it. The statement that “we must have the lowest price” may stem from a fear of not receiving good value.

2. AIM FOR A “WIN-WIN” SITUATION

Remember that a win is often about perception so, do you understand what your side and their side think that “winning” actually looks like?

3. PREPARATION IS EVERYTHING

Analyse all of the facts from their perspective as well as yours. Role-play scenarios in your mind. Practice different openings. Ask yourself “what-if” questions. Identify any gaps in your knowledge and try to fill them.

4. BREAK YOUR OFFER INTO CONSTITUENT PARTS

Identify which parts are fixed and which can be varied. For example you may decide to offer delivery; timing of pick-up, timing of delivery, choice of routing and choice of carrier are four constituent parts of delivery that can be varied.

5. UNDERSTAND VALUE AND COST

Everything you offer to a key account has a value to them and a cost to you. Objectively analyse these values and costs. A skilled negotiator offers elements that are of high value to the customer and of low cost to them. If you prepare adequately these factors become obvious. If not, you tend to be drawn quickly on to those areas of most cost to you i.e. your profit margin.

6. NEGOTIATIONS FOLLOW A KNOWN ROUTE

You can identify four activities in most negotiations - Preparation, Gaining and Discussing of Information, Making Offers, Bargaining. Many negotiations fail because negotiators ignore stages 1 & 2. You must have information in order to make valid offers.

7. DON'T BE AFRAID TO MAKE THE OPENING OFFER

Be as realistically high as you can. The test of realistic is that if they immediately say yes, you can commercially justify this position over time. Starting high allows you leeway to move towards their position

8. ALWAYS GET SOMETHING IN RETURN

Think of this point in terms of value. If you move too easily then clearly what you were offering previously was worthless. If a customer gets you to move too easily they will either devalue what they receive or it will encourage them to ask for more.

9. USE THE “IF.....THEN” TECHNIQUE

For example “if you will accept four weeks delivery then I will try to improve the terms.” Used well this subtle technique is enormously helpful. Initially it is used to link specific concessions from the other party with general statements of intent from yourself e.g. “four weeks delivery” linked to “try to improve” in the above example.

10. WHEN YOU REACH A DEAL TALK UP THE RESULT

This ensures that you and they feel good and have achieved “win-win”. Just as importantly, it ensures that the wider audiences to the deal, your colleagues and theirs, feel that a good deal has been struck. There is nothing so annoying or potentially damaging as a colleague who wasn’t there saying “I could have done better”

OBJECTIVES:

Using the language of the day, account objectives should be SMART – specific, measurable, achievable, relevant and timed. They should also be in three different areas:-

1. Objectives to add value to the customer
2. Objectives to improve your business
3. Objectives to develop relationships between your two organisations

Here are some examples of two objectives in each area:-

Adding value to the key account

- Help the customer reduce their production costs by £30k by installing the new product by the end of September
- Introduce them to three of our customers (possible sales leads) at the NEC on 8 May

Improving your business

- Sell £50k of our existing product to their new site in Peterborough by the end of November
- Get three referrals by the end of June

Improving relationships

- Move Terry from “Strongly for competitor” (on decision-maker matrix) to “Interested” by end of July
- Arrange for their MD to meet our MD at our golf day on 23 August

“Show me an account manager who knows where they are going and I will show you an account manager who is already half-way there!”

~ Jon Lowe ~

ORGANISATION CHART:

Within your account plan you will need a copy of the key account's organisation chart showing "who's who?"

It will also give you some clues about opportunities that may exist in other departments and sister companies with the group.

OWNERSHIP:

Account managers know their customers better than anyone else in the business and should therefore build account plans for each of their key accounts. They should have the responsibility and the accountability that goes with it.

"If people help plan the battle, they won't battle the plan"

PARETO PRINCIPLE:

The Italian economist and philosopher Vilfredo Pareto concluded, in 1897, that "there is an imbalance between causes and results, inputs and outputs and effect and reward." Or, to put it another way, "80% of Italy's wealth is in the hands of 20% of its people."

From that moment, the "Pareto Principle" was born. It has since been applied to many aspects of business:-

- 80% of products/services often come from 20% of the products/services
- 80% of quality problems are caused by 20% of the people
- 80% of any market is in the hands of 20% of the suppliers
- 80% of absenteeism is caused by 20% of the people
- 80% of an organisation's profit is often within 20% of the turnover

The principle can also be related to our lives in general:-

- 80% of accidents are caused by 20% of motorists
- 80% of famine is confined to 20% of countries
- 80% of disruption in schools is caused by 20% of pupils
- 80% of the time we wear 20% of our clothes
- 80% of our phone calls are to 20% of the people in our phone book*

*However, if you have a teenage daughter, all recognised theories on telephone behaviour should be abandoned!

This A-Z, of course, follows the Pareto Principle. For many organisations 80% of their business comes from 20% of their customers – i.e. their key accounts.

If Vilfredo walked into most businesses he would recognise that his principle is still alive and relevant today.

PRESENTATIONS:

This topic deserves its own A-Z (and the good news is that there is one!) However, here are ten key points to be going on with:-

1. When preparing the presentation break the content down into prioritised bite-size pieces - decide what the audience must know, should know and could know
2. Don't use the screen as a prompt - write your notes as "key words" so that each one "opens the door" to another hundred words
3. Book all equipment needed and get access to the room before the presentation, if possible.
4. Decide which room layout is best suited to your objective – round table, U shape, boardroom style etc
5. To overcome nerves, look at a friendly face in the audience, have an unofficial chat about timings/admin before you start and get your first slide up quickly so they look at it rather than you.
6. Have three objectives – no more
7. Signpost your presentation so that your audience knows what will happen e.g. "My presentation will last for 30 minutes and is split into three sections" or "Before I sum up in five minutes, I would like to answer any questions you may have"
8. Be prepared to answer five different types of questions:-
 - Relevant question, not yet covered
 - Relevant question, already covered
 - Irrelevant question, harmless
 - Irrelevant question, harmful
 - The one where you don't know the answer

9. Keep your presentation sentences short – about half the length of how you would write it or say it. Talk quietly and slowly when you get to the most important points and loudly and quickly if you are trying to motivate and inspire action!
10. When finishing your presentation to a key account try to finish with impact:-
 - Recap on your original objectives (same slide as earlier)
 - Recap on the main points
 - Thank people, where appropriate
 - Ask for any final questions before.....
 - Finishing on a high – leave them with something to remember you by

PROBABILITY FACTORS:

Each piece of key account business will have a number of factors that affect the probability of winning the business.

Although it is very tempting to be up-beat and optimistic about the chances of winning key account business but when probability factors are applied the measured value of the probable business can often look very different.

Let's take the example of a £10k proposal that you feel is "90% likely to come off."

When taking into account the following ten probability factors.....

1. Competitor activity and performance
2. Key account's perception of your organisation
3. Level of decision makers known
4. Previous experience in the key account's business/industry
5. Culture fit
6. Price versus budget available
7. Accuracy of needs identified
8. Accuracy of solution proposed
9. Impact of external factors
10. The length of time the proposal has been hanging around

.....then the "90% likely" will probably become "50% likely".

So the £10k proposal, with 50% probability, has a measured value of £5k and this is the figure that should be fed into the pipeline forecast.

PROBLEMS:

Problems within the account are often opportunities in disguise. They are often a healthy sign of an organisation that is trying to develop new ways of thinking and working.

By constantly pushing into new unknown areas things are bound to go wrong from time to time. A word from the man himself.....

"Give me a fruitful error any time. It will be full of seeds, bursting with its own corrections and information for you to learn, grow and compete."

~ Vilfredo Pareto ~

PROPOSALS:

Key Account Managers tend to be dismissive of this very important skill – they would rather talk, not write, of course.

Here are ten tips to improve written proposals:-

1. Invest in the necessary time to create a good first impression – use of the customer's logo (with their permission), use of colours, digital camera shots and themes that the key account will relate to.
2. When re-stating the key account's needs follow a "You-We-I" structure:-
 - You said that.....
 - You mentioned that.....
 - You emphasised.....
 - You indicated that.....
 - We discussed.....
 - We talked at length about.....
 - We agreed that.....
 - I believe that.....
 - I feel.....
 - I will now.....

3. Don't over-do jargon or technical words
4. Use short sentences that include one idea only
5. Use spoken English, not written English

Written English	Spoken English
I am in receipt of	Thanks for.....
Will you be so kind as to...	Could you.....
At the present time of writing	Today.....

6. Build in your character - don't sound like a machine. Be normal. Break a few rules providing this mirrors the customer's way of doing business e.g. "Dear Bill, it was great to see you again! I will bring the proposal with me on the 17th. In the meantime have a relaxing holiday in Marbella"
7. Bring your witnesses to Court - be prepared to offer "proof" in your proposal - e.g. recent surveys carried out by independent organisations etc.
8. Use diagrams, photos and charts - make the proposal visually interesting
9. Finish on a high. Also try and keep the momentum. Don't say "If you have any queries please do not hesitate to contact me". Try the more proactive "I will telephone next Thursday to answer any questions you have and to agree the way ahead"
10. When you have finished your proposal ask yourself:-
 - How would I feel if I was reading this?
 - Which colleague could give me some good feedback on it?
 - Should I be presenting it rather than posting it?
 - Does the proposal explain the bottom-line benefits of going ahead?
 - Is my proposal bound to impress or is it bound for the bin?

QUALITY THINKING TIME:

From time to time, account managers need to get away from it all and treat themselves to some “quality thinking time”. This will help them “see the wood from the trees” and objectively review the intelligence, objectives and tactical thinking they are planning and implementing.

The office is no place to do business because sometimes it becomes “busyness”.

To “stay on top” of 3-4 account plans will require half a day of quality thinking time each month. Account managers should decide where they think creatively best of all – it may be in the office, of course, but it also may be at home or in the reception area of a local hotel or on top of a mountain. It doesn’t really matter.

What does matter is that account managers spend the right amount of time thinking, plotting and planning to produce a quality result. Don’t review things once they’ve gone wrong – review things before they go wrong.

“If I had eight hours to cut down a tree, I would spend six hours thinking and sharpening my axe”

~ Abraham Lincoln ~

QUARTERLY REVIEW MEETINGS:

Although you will be working with your key accounts day in, day out, the best way of reviewing progress and having a meaningful, objective and productive discussion with the customer is to instigate quarterly review meetings.

One of these four meetings should be timed around the start of the customer’s new business year so it is positioned as an “annual strategic review”. The “senior” nature of this meeting, together with its attractive language, will encourage the customer’s top executives to participate – with a title like “annual strategic review” it could hardly be perceived as “routine”.

You will also need to have internal quarterly review meetings – either just before or just after the meeting with the customer – depending upon the agenda and likely outcomes.

Good teams are often a collection of differences and, by implication, this also means that internal review meetings are a good opportunity to share feelings and openly discuss niggles and friction that might exist within the team.

People rarely go out of their way to make a colleague's life difficult – but people will always upset each other when there are different problems, pressures and priorities.

"Individuals account managers are imperfect but account teams can be perfect!"

QUERIES:

It is difficult to sell additional key account business if there is a current climate of unresolved queries – they need to be resolved first. A blinding flash of the obvious, I know, but this is often overlooked.

Sales Directors often say things like "Don't worry about operational queries – you just concentrate on the sales side of things!"

It is impossible to concentrate on the sales side of things unless the "service side of things" is working well.

QUESTION BANK:

As I said earlier, a gossip is someone who talks to you about others, a bore is someone who talks to you about himself and a good account manager is someone who talks to customers about themselves.

Questions are, without doubt, one of the main tools in the key account manager's toolkit. I'm sure that you have spotted them, but there are dozens of key questions in this A-Z. Each one is a best-practice gem that has worked well for account managers before.

Physicist Isidor Isaac Rabbi, who won a Nobel prize for inventing a technique that permitted scientists to probe the structure of atoms and molecules in the 1930's, attributed his success to the way that his mother used to greet him when he came home from school each day.

She used to say..... "Isidor, did you ask any good questions today?"

REFERRALS:

If you have happy key account customers they should be a good source of referrals. Some account managers, however, feel a little nervous and awkward about asking for referrals in case it sounds like a rather down-market "know anybody that needs us, mate? type of question.

The best way to gain referrals is to ask for them in four bite-size pieces:-

1. Ask the key account if they know any organisations that could be added to your mailing list
2. Ask if your customer if they would let you have the names and titles of the key people you should contact
3. Ask if your customer would be prepared to act as a reference (in the event of interest) and answer any questions the referred prospect may have
4. Ask if your customer would be prepared to mention your name to the prospect – if the answer is "yes" ask your customer to introduce you over the phone

RESEARCH:

There are some interesting facts and figures as a result of research undertaken by a range of respected organisations from Cranfield to Harvard.

Here are some of their findings:-

- KAM is becoming more important as time goes by - in 1972 sales to the top ten customers, as a % of total sales, was 28%. By 2000 sales to the top ten had risen to 60%.
- 85% of companies researched stated that they felt that there was a difference between a "Key Account" and an "ordinary customer". However, less than a third of these companies could produce a definition of a key account.
- 74% of companies researched stated that they felt that KAM required different tactics, tools and techniques - but only half of these could elaborate on how these tactics, tools and techniques actually differed in their organisations.

- Research established that only 15% of companies could track individual key account profitability. Where profitability could be tracked, only 22% of key accounts were profitable!
- Most of the companies researched agreed that they could survive the loss of 1-2 accounts but “the loss of 3-4 would cause major problems, 5-6 would cause redundancies, 7-8 would be a disaster and 9-10 would result in closure”.

REWARDS:

Account managers should spend some of their time supporting colleagues. They should therefore be rewarded for “time off the patch” and team bonuses are a good way of promoting this.

SECOND VISITS:

When working with key accounts, you rarely get to see all of the decision makers together. For example, during a first visit, a key account manager might discover that s/he needs to return to see the same contact plus two others involved in the buying decision.

The account manager returns to a situation where one person is “warm” and the other two are relatively cold. So if you are the account manager and need to get everyone “up to speed” here is a suggested sequence of events:-

1. Introduce yourself to the two new faces
2. Ask for a brief explanation of their role
3. Ask how much they know about the content and conclusions from the first meeting (you need to find out whether or not your main contact has briefed them)
4. Recap as necessary or ask if your main contact wants to do the recap (this is often better as you get to hear how much s/he understands and what level of commitment they have)
5. Ask if anything has changed since your first meeting (particularly important if it was some weeks ago)
6. Explain your objectives for the second meeting
7. Ask if there is anything if they want you to cover
8. If there is, you may want to change your running order and cover their items first
9. Check time available before you now start the main part of the meeting
10. Consider a “pre-close question” to check commitment before you start e.g. “If you like the sound of my recommendations today, and they meet your needs and expectations, is there any reason why we can’t make the decision today?”

SITUATIONAL LEADERSHIP:

Who manages your key accounts and how were they selected? Or is it left to fate i.e. “Bill manages key account X because he lives the closest”

Unlike smaller customers, which are often allocated geographically, key accounts should be managed by the account manager who is “best qualified” – i.e. the person who is best qualified to achieve your objectives and best qualified to help the customer achieve their objectives.

Sometimes, an account manager will be right for the “situation” and, on other occasions, s/he will be wrong for the situation.

Therefore there will be times when an account manager may have to look the customer in the eye and say “Charles, in view of the changes going on within your business I’m going to ask a colleague of mine, Martin, to get involved and take over the account from me.

He is the person who is best qualified for the job – I will still be involved but I will become his deputy. I can assure you that you will be very happy with him”

This is good account management and good teamwork - providing the customer agrees with your plan and providing the transition is managed smoothly and with skill.

Good account management means more “we” and less “me”

SUMMARISING:

This is another key tool in the key account manager’s consultative selling toolkit.

An effective summary achieves a number of things:-

1. It shows the key account that you have actively listened
2. It shows you care
3. It provides an opportunity to feedback the customer’s actual words and phrases
4. Detail, facts and figures can be checked before the account manager departs
5. Perceptions can be checked (after all, what does it actually mean when a customer says “as soon as possible”)

6. It produces agreement and alignment and makes sure that both parties are “singing from the same hymn sheet”
7. It wraps up and closes a chapter before a new topic is discussed
8. The customer’s interest and commitment can be gauged
9. It confirms what will happen next, by whom and by when
10. It will make it easier to brief colleagues on their role

SUPPLIER SPLIT:

Try and capture the following intelligence on one page:-

- The range of products and services that the key account buys from you and your competitors
- The name of each supplier
- The customer spend by product

All figures are £'000

Supplier	Prod1	Prod2	Prod3	Prod4	Prod5	Prod6	Prod7	Prod8	Sen1	Sen2	Sen3	Sen3	Total
DEMOCOMPANY	1 2%	2 2%	3 16%	4 31%	5 28%	6 40%	7 33%	8 50%	9 56%	10 30%	11 48%	12 67%	78 23%
ATLANTA	6 10%	45 49%	0 0%	9 69%	0 0%	7 47%	5 24%	0 0%	5 31%	0 0%	0 0%	0 0%	77 23%
GFS	45 78%	45 49%	12 63%	0 0%	7 39%	0 0%	0 0%	8 50%	0 0%	23 70%	12 52%	4 22%	156 46%
LOCAL FOCUS	6 10%	0 0%	4 21%	0 0%	6 33%	2 13%	9 43%	0 0%	2 12%	0 0%	0 0%	2 11%	31 9%
Total	58	92	19	13	18	15	21	16	16	33	23	18	342

Here are ten questions that will help you build this “Supplier Split” page:-

- Which suppliers do you use?
- How do you decide who to use for your.....?
- What is your spend on.....?
- What % of yourbusiness do we get?
- How do we compare to your othersuppliers?
- How many marks out of ten would you give us for.....?
- What would we have to do to score ten?
- What could we learn from our competitors?
- Where would you be happy to see us have more of yourbusiness?
- Whatbusiness is coming up in the next three months?
- What would we have to do to win that?

When asking questions to build your understanding of the situation make sure they are asked at the right time, in the right language. Don't rush to build the diagram - it will come together over a period of 3-6 months.

Rather like doing a crossword, you will have half a line constructed and then the customer will give you another “clue” that will help you complete it.

SWOT SUMMARY:

Having reviewed a dozen pieces of intelligence (key personnel, allies and enemies matrix, supplier split etc.) you will need an overall Intelligence SWOT Summary - your strengths, weaknesses, opportunities and threats within each account.

Although an account manager will spend a lot of time examining and reflecting on the individual pieces of intelligence, other colleagues may not have the time or inclination to do this - they will want to go straight to the SWOT Summary then build SMART Objectives and Tactics for the future.

TACTICS:

The last page (or screen) of your account plan should be the multi-level team Tactical Plan.

Over a twelve month period, or more, it would show “who is going to do what, by when?”. The account manager would, of course, be carrying out many of these tactics and actions but the Tactical Plan would also feature those to be carried out by:-

- The account manager's boss

- Sales team colleagues (maybe someone who has expertise in a relevant product or market sector)
- Operational colleagues responsible for delivering the promise that the account manager has sold
- Technical specialists (IT, HR, Finance etc)

These team tactics are important because KAM is essentially a

TEAM SPORT:

KAM is not a job for lone heroes who get destroyed on the slopes of a major piece of business and are then awarded a posthumous medal for gallantry!

Here are some of the key points in the “game-plan”:-

1. Build a matrix showing account manager expertise and experience in your different market sectors. Encourage people to phone each other when they are going into a sector that is not their main area of expertise.

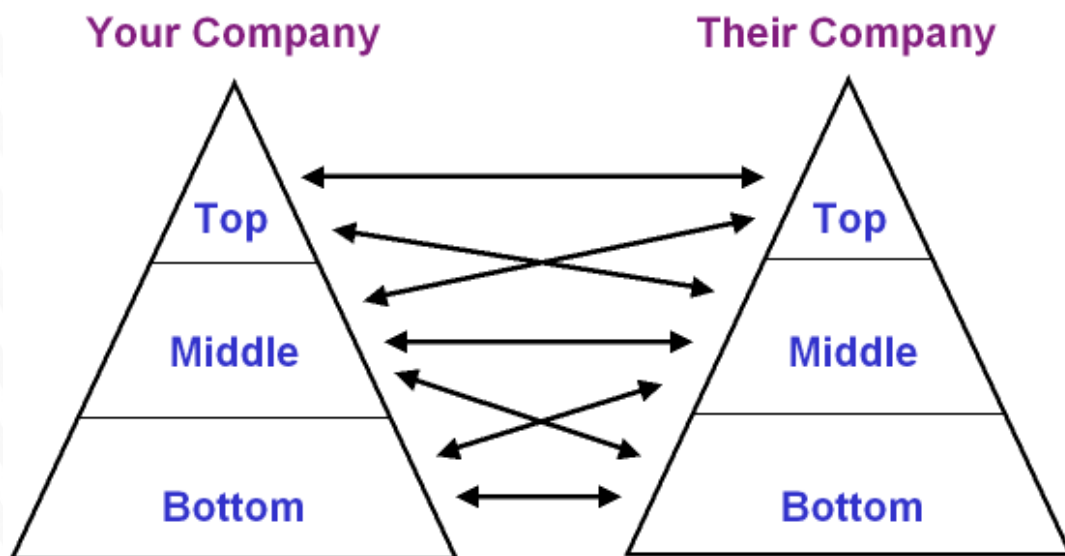
	I.T.	AUTO	FOOD	CHEM	PRINT	MANF
TIM	✓			✓		✓
IAN		✓	✓		✓	
GILL	✓		✓		✓	✓

2. Book “team selling days” in the diary. These are days when any member of the team can request the involvement of a colleague to help identify needs, solve problems or present solutions etc. These days (maybe one per month) should be booked for the year ahead with the diary being co-ordinated by a senior PA.
3. Make Directors available for key account activities in the field. They are the “big guns” and will often be the most effective account managers in the business. Again, publish their availability for the year ahead – once their dates are in the diary, they must happen.

4. Encourage “buddy meetings” where two of your account managers meet informally over coffee to review each other’s account plans and build the objectives and tactics for the future.

Mon	Tue	Wed	Thu	Fri	Sat	Sun
			1	2	3	4
5	6	7	8	9	10	11
12	13	14	15	16	17	18
19	20	21	22	23	24	25
26	27	28	29	30	31	

5. At each of your Board Meetings invite one of your account managers for lunch, then give them the “graveyard shift” at 2pm to present an account plan to the Board. Tell them they have got 20 minutes for their presentation and ten minutes for questions. Stick to the timings – this will encourage them to manage their time effectively – exactly as they have to do when working with their key accounts. Although, at first sight, this session might sound a little daunting, account managers find them motivational and recognise that they also have a marvellous opportunity to display their credentials for the future.
6. Build layers of multi-level contacts. Organisations are often three-tiered affairs – policy makers at the top, policy implementers in the middle and policy operators at the bottom. You will need “man to man marking” but 2-3 people from your organisation should be working with 2-3 people from the customer’s organisation. Think twice before you decide to “go over someone’s head”. A better strategy is to maintain relationships with your contact but deploy a colleague at a different level.



TESTIMONIALS:

Testimonials from happy key accounts are very helpful when trying to win new business i.e. when a large prospect says “who else have you worked with?” and is looking for “proof” of your reliability and service.

A good action point here is to build three testimonials from happy customers, within each of your chosen markets, during the last two years – no longer than this – in today’s fast moving business world they would not be perceived as relevant.

UPWARD MANAGEMENT:

One of the key skills needed by account managers is to “manage upwards”. As KAM is essentially a “team sport” the account manager can expect to “manage” his/her boss, the Chief Executive and other nominated directors from time to time.

Managing upwards means making sure that the boss is available for key account activities with customers, attends and supports review meetings and operates as an integrated member of the team.

For example, if the Chief Executive is going to a black-tie dinner where key decision makers from one of the key accounts are going to be present, then s/he should be briefed by the account manager and given key pieces of missing intelligence to find.

VAT:

Whenever you put a proposal together for the key account and you mention the price, don’t forget to add VAT.

This stands for Value Added Tomorrow - explain the financial benefits and the value the customer can expect to receive.

VOICE OF THE CUSTOMER:

Sometimes account managers have to “turn up the volume” and convince their colleagues that the customer is unhappy.

Account managers are not whinging, in this event. They are simply trying to be the voice of the customer within your organisation.

WEBSITES:

Years ago, account managers could visit a new prospect and do little research. They would often say things like “I’ve come with a blank piece of paper and pen and would like to ask you some questions to improve my understanding of your business.”

This approach and attitude would be commercial suicide today. Key accounts and dream prospects expect us to have done the necessary research by looking at their website before the visit.

EXIT INTERVIEW:

If a key account decides to leave your care they deserve an exit interview, in the same way that you would interview a member of staff to find out why they are leaving.

Ideally, this exit interview should be carried out by the most senior person available (who has not been involved in the day-to-day management of the account).

One thing is certain – the thirty minutes invested would produce many learning points for your company and, maybe, present a “last ditch” opportunity to retain the key account or, at least, set up a follow-up phone call in a few months time.

YEAR-END:

The best time of year to really understand where your key account is today, where they are going in the future and how they intend to get there is just before, and just after, the start of their new business year.

There will be lots of planning, budgeting, forecasting and thinking – some on site and some whilst they are locked away in the comfort of a quiet country hotel.

So when are the year-ends of your top ten accounts? Are they known? Are they recorded?

If not, the account manager will be “out of alignment” with the customer.

S/he might still be “interesting” but cannot be “100% relevant” to the customer’s future needs unless they know this important piece of intelligence.

YOU:

I hope that this A-Z will provide you with the tactics, tools and techniques for future success. Keep ticking off those partnership indicators and the progress towards working as a business partner, not a supplier.

Over to you! Remember the ten most important two-letter words of all time.....

"If it is to be, it is up to me!"

~ Anon ~

ZERO-TWENTY CHECKLIST:

I can't believe that we have come to the end.....or is it just the beginning?

Either way, here is a twenty point checklist to monitor how well you are doing - or to assess where you are starting from if KAM is new to you.

It covers five key areas as you will see. Think of it as a KAM "pentathlon".
The five checklists cover:-

- Purpose
- Principles
- Policy
- Process
- People

Enjoy the journey - it will be worth it in the end.

Companies that establish themselves as value-adding partners rather than cost-adding suppliers will become more and more profitable as time goes by!

PURPOSE

PRINCIPLES

POLICY

Is KAM a major Differentiation Strategy for the future or just an OK thing to be doing?	Is there a process for Proactively Auditing the perceptions of your key accounts?	Is Account Profitability tracked so that you can decide which customers to “manage up” and which to “manage out?”
Are there Definitions for existing key accounts and future dream prospects and do your people know who these organisations are?	Is KAM being supported by a Culture of internal service excellence and Leadership from the top?	Are the Right People managing your key accounts because they are the best people for the situation?
Is there a list of “Partnership Indicators” that show how you are performing for each of your top ten accounts?	Is KAM a serious Long-term Campaign , rather than a flavour of the month quick-fix?	Can your IT Systems store and share key account information and plans effectively across the whole account team?
If your organisation was arrested and charged with Adding Value would there be enough evidence to convict it?	Is KAM a “Team Sport” where the phrase “our customer” rather than “my customer” would be used?	Are there Rewards and “compensation” for helping colleagues win and develop their key account business?

PROCESS

PEOPLE

Do you have Intelligence that shows key personnel, the decision-making process, customer plans, competitor activity etc?	Do people understand their Role – to improve your profitability as a result of improving the customer’s profitability?
Is there a SWOT Summary showing this overall “Intelligence” picture?	Do you have a KASH Profile to identify and satisfy your account managers’ training and on-going coaching needs?
Are SMART Objectives set to add value to the customer, improve your business and develop relationships?	Is there an internal and external Review Process for monitoring and amending your key account “Partner Plans”
Do you have a 6-12 month multi-level plan of Tactics showing “who is going to do what, by when?”	Do account managers treat themselves to Quality Thinking Time so that they can see the wood from the trees?